# Daniel Eduardo Díaz–Espinosa

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**Doctoral Studies**

Brandeis University
Ph.D., International Economics and Finance, Expected completion May 2027
Dissertation: "*Essays on Expectations and Monetary Policy*"

Dissertation Committee and References

Professor Raphael Schoenle
Department of Economics
Brandeis University
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Professor George J. Hall
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Professor Jean-Paul L'Huillier
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**Prior Education**

***Brandeis University***
M.A., International Economics and Finance 2024
***The Ohio State University***
M.A., Economics 2019
***El Colegio de México***
M.S., Economics 2016
***Universidad Nacional Autónoma de México (UNAM)***
B.A., Economics (*Summa cum laude*) 2012

**Citizenship**

Mexico

**Languages**

Spanish (native), English (fluent)

**Fields**

Primary Fields: Monetary Economics, Macroeconomics
Secondary Field: Behavioral Macroeconomics

**Teaching Experience**

***Brandeis University***
Principles of Macroeconomics (undergraduate, ECON 20a) Summer 2025, Summer 2026

Lecturer (primary instructor)
Macroeconomic Theory (undergraduate, ECON 82b) — Summer 2023, Summer 2024
Lecturer (primary instructor)
Inflation Dynamics and Monetary Policy (undergraduate) — Fall 2026
Teaching Assistant
Macroeconomic Theory (undergraduate, ECON 82b) — Fall 2022, Spring 2026, Fall 2026
Teaching Assistant
Financial Crisis (graduate) — Spring 2024
Teaching Assistant

***El Colegio de México***
Macroeconomics and Microeconomics (M.S. in Economics) — 2016–2017
Teaching Assistant

***Universidad Nacional Autónoma de México (UNAM)***
Monetary Theory and Financial Policy (undergraduate) — 2014
Lecturer
Macroeconomics (undergraduate) — 2013–2014
Teaching Assistant

**Relevant Positions**

Research Assistant to Professor Raphael Schoenle, Brandeis University — 2024–2025
Research Assistant to Professor Lúcio Vinhas de Souza, Brandeis University — 2024
Research Assistant to Professor Aldo Musacchio, Brandeis University — 2022–2023
Deputy Director of Research, Ministry of Finance of Mexico — 2021–2022
Research Fellow, Center for Economic Studies, El Colegio de México — 2016–2018

**Fellowships, Honors, and Awards**

***El Colegio de México***
Josué Sáenz Award for Best Master's Thesis — 2016

***Universidad Nacional Autónoma de México (UNAM)***
Honorific Mention for Excellence — 2012

**Computer Skills** MATLAB, R, Python, LaTeX

**Research Papers**

**"Target-Based Communication under Credibility-Distorted Beliefs"** (Job Market Paper)

Angeletos and Sastry (2021) theoretically show that central bank (CB) target-based communication anchors inflation expectations better than its interest rate counterpart. However, more UK households report adjusting their expectations based on the interest rate, they under-react to new information, and experienced inflation lowers credibility among the cohorts that have lived through the strongest inflationary episodes. This raises the question of whether intensively investing in target-based communication would anchor expectations and deliver welfare improvements in this context. I explore it by proposing an expectation mechanism that unifies experience-based expectations with endogenous credibility, distorted by the diagnostic expectations of Bordalo, Gennaioli

and Shleifer (2018), and incorporate it into a Representative Agent (RANK) and a Heterogeneous Agent (HANK) New Keynesian model. The main findings are: (i) while in the RANK model the welfare loss is entirely due to distorted expectations, in the HANK model the burden shifts from the older cohorts, who remember differently, towards the younger cohorts, who spend differently; (ii) a policy fully focused on communicating the target is unequivocally superior in reducing the loss for all cohorts; and (iii) target communication and traditional monetary policy are complements in the RANK model and substitutes in the HANK model. Therefore, target-based communication is a highly effective tool to anchor expectations when credibility is eroded, which CBs could implement more intensively with ample welfare gains.

**"Sticky Information Meets Wealth in Utility: Implications for Monetary Policy"**

This paper extends the New Keynesian model by incorporating Sticky Information and Wealth in Utility (the SIWUNK model), to address its implications for the design of monetary policy. This paper demonstrates that equilibrium determinacy can be achieved under a Taylor rule even with a passive monetary stance, while price-level rules require both information frictions and a discrete inflation response. The transmission of monetary policy is modified, since agents' preference for wealth and delayed information processing extend the effects of shocks, requiring prolonged periods of low interest rates. Welfare analysis reveals that inflation targeting becomes more desirable than price-level targeting when wealth enters utility, even when price-level targeting performs better in the New Keynesian model. Finally, despite the information frictions, optimal policy rules remain robust, though wealth in the utility function could shift the central bank preference towards output stabilization.

## Research in Progress

**"Unanchoring Regimes under Social Learning"**

Inflation expectations become unanchored quickly but re-anchor slowly. Using microdata from the Bank of Mexico's Survey of Professional Forecasters, I measure anchoring as the probability mass forecasters place on the target range and document that re-anchoring after the post-2020 inflation episode proceeded at roughly one fifth of the speed of unanchoring. I build a New Keynesian model in which forecasters learn socially and in which the credibility of the target switches endogenously between anchored and unanchored regimes when forecasters detect persistent same-signed forecast errors. Rational expectations, cognitive discounting, and diagnostic expectations fail to generate any unanchoring episode; social learning generates episodes with the frequency and persistence seen in the data, because belief drift and credibility loss reinforce each other. Estimating the model by simulated method of moments, I find a Brainard-type prescription for caution: because the central bank cannot separate fundamental inflation from expectation drift, responding to inflation more aggressively than a standard Taylor coefficient reduces the time spent unanchored but raises output volatility by more than it gains in anchoring.